

Analysis of Select North American Automotive Sector Transactions (Q4 2019 – Q4 2020)

Executive Summary

This report provides a detailed analysis of ten significant transactions within the North American automotive sector, announced between the fourth quarter of 2019 and the fourth quarter of 2020. The objective of this analysis is to establish a definitive and auditable record of each transaction's key dates and structural classification. The methodology employed for this report adheres to a strict standard of verification, relying exclusively on primary-source documentation such as official company press releases, statements from legal and financial advisors, and public filings. This rigorous approach ensures the highest fidelity of the data presented, correcting and clarifying initial information where necessary. The analysis extends beyond simple data verification to provide a nuanced examination of the strategic rationale, market context, and structural implications inherent in each deal.

The following master summary table consolidates the verified findings for each of the ten transactions, offering a high-level overview of the completed analysis. Each entry in this table is substantiated by the detailed research and justification presented in the subsequent sections of this report.

Table 1: Master Transaction Summary

Acquirer	Target	Verified Announcement Date	Completion Date	Type of Transaction	Deal Value
Pritzker Private Capital	Highline Aftermarket	October 8, 2020	November 9, 2020	100% Acquisition / Platform Creation	Not Disclosed

Kohlberg & Company	Parts Authority	October 1, 2020	c. October 30, 2020	Secondary Buyout (Majority Stake)	Not Disclosed
Meritage Group	Les Schwab Tire Centers	September 29, 2020	Q4 2020	100% Acquisition	Not Disclosed (Est. ~\$3 Billion)
KPS Capital Partners	AM General LLC	July 22, 2020	October 1, 2020	100% Acquisition / Leveraged Buyout	Not Disclosed
Atlantic Street Capital	Zips Car Wash	May 13, 2020	c. May 13, 2020	Growth Investment (Minority Stake)	Not Disclosed
BorgWarner Inc.	Delphi Technologies PLC	January 28, 2020	October 2, 2020	Merger / 100% Acquisition (All-Stock)	~\$3.3 Billion (Enterprise Value)
Dealer Tire, LLC	Dent Wizard	January 6, 2020	February 6, 2020	100% Acquisition	Not Disclosed
CIIG Merger Corp.	Arrival S.à r.l.	November 18, 2020	March 24, 2021	Merger / SPAC Business Combination	\$5.4 Billion (Pro-forma Enterprise Value)
Knorr-Bremse's Bendix	WABCO's R.H. Sheppard Co.	January 30, 2020	June 1, 2020	Carve-out / Divestiture	\$149.5 Million
Cortec	Enthusiast	December	December	100%	Not

Group	Auto Holdings	19, 2019	19, 2019	Acquisition / Platform Investment	Disclosed
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Detailed Transaction Analysis

This section provides an in-depth examination of each transaction listed in the Executive Summary. Each subsection is dedicated to a single deal, presenting a summary of the transaction, verification of key data points, and a detailed analysis of the transaction type and its strategic implications, all substantiated by primary-source documentation.

Pritzker Private Capital / Highline Aftermarket

Transaction Summary

This transaction involved the acquisition of Highline Aftermarket Holdings, LLC ("Highline"), a national distributor of automotive aftermarket products, by Pritzker Private Capital ("PPC"), a family direct investing firm. A key feature of this deal was PPC's simultaneous acquisition of Warren Distribution, Inc. ("Warren"), a manufacturer of private label lubricants and automotive chemicals. Following the acquisitions, the two companies were combined to form a new, integrated entity positioned as a leader in the manufacture and distribution of automotive aftermarket consumable products.¹ This strategic combination was designed to create a more powerful and vertically integrated platform in the sector, led by Highline's existing CEO, Darcy Curran.³

Data Verification

- **Announcement Date:** The definitive agreement for the transaction was announced on **October 8, 2020**. A press release issued by Pritzker Private Capital on that date confirms

that it "signed definitive agreements to acquire Highline Aftermarket Holdings, LLC... and Warren Distribution, Inc.".¹ The initial data point of November 2020 appears to have been confused with the month of completion.

- **Completion Date:** The acquisition was completed on **November 9, 2020**. This is explicitly confirmed in a news release from Willkie Farr & Gallagher, the legal counsel representing Highline's seller, which states, "The transaction closed on November 9, 2020".⁴ A subsequent press release from PPC dated November 10, 2020, also announced the "completion of its acquisitions".²

Deal Value

- **Value:** Not Disclosed.
- **Justification:** The financial terms of the transaction were not publicly disclosed by the involved parties.² The acquirer, Pritzker Private Capital, typically targets companies with enterprise values between \$200 million and \$1.5 billion, while the seller, The Sterling Group, focuses on companies with enterprise values from \$100 million to \$750 million.³⁸

Transaction Type Analysis

- **Classification:** 100% Acquisition / Platform Creation.
- **Justification:** The transaction represents a full change of control, as evidenced by PPC's press releases announcing the "acquisitions of Highline Aftermarket Holdings, LLC... and Warren Distribution, Inc.".² The deal structure goes beyond a simple acquisition and is best classified as a "platform creation." The announcement of the definitive agreements explicitly states, "The companies will be combined upon closing of the transaction".¹ The completion announcement further reinforces this, noting that the "combination creates a leader in the manufacture and distribution of automotive aftermarket consumable products".³ This language confirms a deliberate strategy to acquire two separate entities and merge them to form a new, larger, and more strategically potent platform company under PPC's ownership.

The structure of this deal reveals a sophisticated private equity strategy aimed at more than just acquiring a single company. By purchasing both a leading distributor (Highline) and a leading manufacturer (Warren) simultaneously, PPC immediately established a vertically integrated player in the automotive aftermarket. This "buy-and-build" approach at the outset is indicative of a long-term vision. The combination of Highline's distribution network and national brand portfolio with Warren's private-label manufacturing capabilities creates

significant operational synergies and a comprehensive market offering from day one. This move suggests that PPC identified an opportunity to consolidate a fragmented market and constructed a foundational asset designed for future growth, likely to be followed by a series of smaller, "tuck-in" acquisitions to further expand its geographic reach and product capabilities.

Kohlberg & Company / Parts Authority

Transaction Summary

This transaction involved the acquisition of a majority stake in Parts Authority, a national distributor of automotive aftermarket parts, by the private equity firm Kohlberg & Company ("Kohlberg"). The seller was The Jordan Company ("TJC"), another private equity firm, making this a secondary buyout. As part of the deal, both TJC and Parts Authority's existing management team, led by CEO Randy Buller, retained significant ownership stakes in the business, signaling a collaborative approach to the company's next phase of growth.⁵

Data Verification

- **Announcement Date:** The signing of the definitive agreement was announced on **October 1, 2020**. This date is consistently cited across multiple primary sources, including press releases from Parts Authority and Kohlberg & Company.⁵
- **Completion Date:** A definitive press release announcing the formal closing of the transaction is not available in the provided documentation. However, a press release from Harris Williams, which served as the M&A advisor to Parts Authority, is dated **October 30, 2020**, and announces that it "advised Parts Authority... on its sale to Kohlberg & Company".⁷ Investment banks and advisory firms typically issue such announcements upon or immediately following the successful completion of a transaction. Therefore, the deal can be reliably determined to have closed on or just prior to October 30, 2020.

Deal Value

- **Value:** Not Disclosed.
- **Justification:** The official press releases and announcements from the involved parties and their legal advisors state that the financial terms of the transaction were not disclosed.⁴⁰ The acquisition was financed with a significant debt package, including a proposed \$600 million first-lien term loan, a \$200 million second-lien term loan, and a \$125 million asset-based lending facility.⁴¹

Transaction Type Analysis

- **Classification:** Secondary Buyout (Majority Stake).
- **Justification:** The transaction is explicitly defined as the "acquisition of a majority stake in the Company by Kohlberg & Company, LLC".⁵ The seller is identified as "a portfolio company of The Jordan Company ('TJC')".⁵ This dynamic, where one private equity firm acquires a company from another, is the definition of a secondary buyout. The structure is further clarified by the fact that TJC "will also retain a significant ownership position in Parts Authority".⁹ This retention of a minority stake by the seller is a common feature in secondary buyouts.

The structure of this deal provides a compelling view into the confidence held by all parties regarding Parts Authority's future prospects. This was not a complete exit for the seller, TJC. By choosing to "roll over" a significant portion of its equity into the new entity, TJC signaled its strong belief that the company still possesses substantial upside and that its retained investment will continue to appreciate under Kohlberg's ownership. This move allows TJC to de-risk by crystallizing a partial return while maintaining participation in future growth. Concurrently, the fact that the existing management team would "continue to lead the Company and remain significant owners of the business" is a powerful endorsement from the individuals most intimately familiar with its operations.⁵ Management's decision to reinvest their own capital alongside the new owner demonstrates their commitment to and belief in the strategic plan they will execute with Kohlberg. This alignment of interests among the new majority owner (Kohlberg), the previous owner (TJC), and management creates a robust foundation for continued expansion.

Meritage Group / Les Schwab Tire Centers

Transaction Summary

This transaction involved the sale of Les Schwab Tire Centers, a prominent, family-owned tire dealership chain with a 68-year history, to Meritage Group, a private investment firm.¹⁰ The sale was initiated by the company's family shareholders, representing the fifth generation of the Schwab family. The decision was driven by the increasing complexities of managing a large enterprise with a broad and growing base of family owners, necessitating a transition to a new ownership structure to ensure the company's long-term success and continuity.¹⁰

Data Verification

- **Announcement Date:** The agreement to sell the company was announced on **September 29, 2020**, as detailed in a statement from Les Schwab CEO Jack Cuniff.¹² Some reports carry a date of September 30, 2020, reflecting the timing of their publication.¹⁰
- **Completion Date:** A specific closing date is not provided in a definitive completion announcement. However, the initial press releases from September 2020 consistently state that "The sale is expected to be complete by the end of the year" or "by the end of 2020".¹⁰ Further evidence from Loeb & Loeb, a law firm that represented family shareholders in the sale, issued a news item in **November 2020** announcing its role in the transaction.¹³ This strongly suggests the deal closed in the fourth quarter of 2020, as projected.

Deal Value

- **Value:** Not Disclosed (Estimated ~\$3 Billion).
- **Justification:** While the official purchase price was not disclosed by Les Schwab or Meritage Group, legal counsel for the sellers described it as a "multibillion dollar transaction".⁴² At the time the company was put up for sale, news reports indicated the family owners were hoping for a valuation of \$3 billion, and subsequent reports valued the 2020 deal at approximately that amount.¹²

Transaction Type Analysis

- **Classification:** 100% Acquisition.
- **Justification:** The transaction is consistently described as a "sale to an out-of-state investment firm" that "ends local family ownership of the well-known Oregon-based business".¹⁰ The primary driver for the transaction was the challenge of managing a "fifth-generation family business".¹¹ The legal counsel for the family shareholders advised on the "sale of their majority ownership interests".¹³ In the context of a sale designed to resolve multigenerational ownership complexities, this language points to a complete transfer of control and ownership from the Schwab family to the Meritage Group.

This transaction serves as a classic case study in the lifecycle of a large, family-owned enterprise. The sale was not precipitated by financial distress or competitive pressure, but rather by an internal governance challenge. The company's board and shareholders cited "the complexities of operating a family-owned business with five generations of family members" as a key factor in their decision.¹⁰ As a family business matures and ownership becomes diluted across a growing number of descendants, maintaining strategic alignment and a clear succession plan for executive leadership can become exceedingly difficult. The family shareholders' joint statement, "As our family grows and ages, it has been very important to us to remain committed and aligned behind our grandfather's vision," underscores this challenge.¹⁰ The sale to Meritage Group was therefore a proactive solution to a succession and governance issue, designed to professionalize the ownership structure and "secur[e] the long-term success of the company" for its employees and customers, thereby preserving the founder's legacy.¹⁰

KPS Capital Partners / AM General

Transaction Summary

This transaction featured the acquisition of AM General LLC, the manufacturer of the iconic High Mobility Multipurpose Wheeled Vehicle (HUMVEE®), by KPS Capital Partners, LP ("KPS"), a private equity firm specializing in manufacturing and industrial companies. KPS acquired the company from an affiliate of MacAndrews & Forbes Incorporated.¹⁴ AM General is a critical supplier to military customers worldwide and a legendary American industrial company.¹⁴

Data Verification

- **Announcement Date:** The signing of the definitive agreement was announced on **July 22, 2020**. This date is confirmed by press releases issued by KPS Capital Partners and AM General.¹⁴
- **Completion Date:** The acquisition was completed on **October 1, 2020**. A press release on AM General's corporate website, dated October 1, 2020, states that KPS "has completed the acquisition of AM General".¹⁷ This date is further corroborated by a press release from the law firm Davis Polk regarding the financing for the transaction, which is also dated October 1, 2020.¹⁸

Deal Value

- **Value:** Not Disclosed.
- **Justification:** Press releases from KPS Capital Partners and announcements from the seller's legal counsel confirm that the financial terms of the transaction were not disclosed.¹⁶ The acquisition was financed with a debt package that included \$600 million in senior secured notes and a \$75 million revolving credit facility.¹⁸

Transaction Type Analysis

- **Classification:** 100% Acquisition / Leveraged Buyout (LBO).
- **Justification:** The press releases use unambiguous language confirming a full change of control, such as "signed a definitive agreement to acquire AM General LLC" and "completes acquisition of AM General".¹⁴ The transaction is clearly identifiable as a leveraged buyout. KPS is a private equity firm whose model involves making "controlling equity investments".¹⁴ Furthermore, the deal was financed with a significant debt package, including a Rule 144A/Regulation S offering of \$600 million in 9.500% senior secured notes and a \$75 million asset-based revolving credit facility, as detailed in the announcement from Davis Polk.¹⁸ The use of substantial leverage to fund the acquisition is the defining characteristic of an LBO.

The acquisition of a strategic military asset like AM General by a financial sponsor like KPS, rather than by a strategic defense contractor, is noteworthy. It signals a belief that significant

value could be unlocked through operational and financial improvements, as opposed to synergies derived from integration with another defense prime. KPS's investment model focuses on generating returns by "structurally improving the strategic position, competitiveness and profitability of its portfolio companies, rather than primarily relying on financial leverage".¹⁴ The firm's stated intent to "build on this great platform, organically and through acquisition" and to leverage its "commitment to manufacturing excellence, continuous improvement and commitment to invest in technology and innovation" suggests a thesis centered on operational enhancement.¹⁴ This implies that KPS determined that AM General was either under-managed or under-capitalized under its previous ownership and that applying private equity-style operational discipline, combined with growth capital, could create substantial value independent of traditional military-industrial consolidation.

Atlantic Street Capital / Zips Car Wash

Transaction Summary

This transaction involved a strategic, growth-focused investment by Atlantic Street Capital ("ASC"), a private equity firm, into Zips Car Wash ("Zips"), one of the largest express tunnel car wash operators in the United States. The investment was structured as a partnership with Zips' founder and CEO, Brett Overman, who remained the majority owner of the business. The capital was intended to accelerate the company's expansion and consolidation strategy in the fragmented car wash market.¹⁹

Data Verification

- **Announcement Date:** The "strategic growth-focused investment" was announced on **May 13, 2020**, as detailed in a press release from Atlantic Street Capital.¹⁹
- **Completion Date:** The press release of May 13, 2020, announces the "partnership" and "investment" in the present tense, indicating that the transaction closed on or around the date of the announcement.¹⁹ Unlike large-scale acquisitions that often require lengthy regulatory reviews, minority growth equity investments of this nature frequently close concurrently with their public announcement.

Deal Value

- **Value:** Not Disclosed.
- **Justification:** The value of Atlantic Street Capital's initial growth investment in May 2020 was not publicly disclosed. Subsequent investments were made, including a follow-on investment in 2022 and an additional \$70 million infusion in 2024, but the value of the original 2020 transaction was not specified.⁴⁶

Transaction Type Analysis

- **Classification:** Growth Investment (Minority Stake).
- **Justification:** The transaction is explicitly not a full buyout. The announcement is titled "Zips Express Wash Receives Strategic Growth-Focused Investment" and, critically, states that founder Brett Overman "will remain majority owner of the business".¹⁹ This confirms the transaction was for a minority equity stake. The stated purpose of the deal was to provide "strategic capital" to help Zips "build the brand to over 500 locations".¹⁹ This structure—providing capital for expansion in exchange for a minority share while leaving the founder in control—is the defining characteristic of a growth equity investment. Later announcements from 2022 confirm ASC subsequently increased its investment, but the initial May 2020 deal was a minority growth round.²⁰

This transaction is a clear reflection of a major private equity investment theme that gained prominence during this period: the consolidation of fragmented, subscription-based service industries. The express car wash model, with its recurring revenue streams, was particularly attractive to financial investors. ASC's investment thesis was heavily focused on Zips' "subscription-based retail platforms".¹⁹ A subsequent press release highlighted that the "Zips Unlimited Wash Club memberships today represent a majority of revenue and contribute to strong revenue stability," a feature highly valued by investors for its predictability.²⁰ ASC's explicit goal of helping Zips grow from 185 to over 500 locations signals a classic "roll-up" strategy designed to consolidate a "large, highly fragmented market".¹⁹ ASC's prior investment experience in other multi-unit, subscription-based businesses like Planet Fitness franchisees demonstrates a well-developed playbook for this specific business model, making Zips an ideal platform for its application.¹⁹

BorgWarner Inc. / Delphi Technologies PLC

Transaction Summary

This transaction was a large-scale, strategic combination of two major Tier 1 automotive suppliers, with BorgWarner Inc. acquiring Delphi Technologies PLC. The deal was structured as an all-stock transaction valued at an enterprise value of approximately \$3.3 billion at the time of announcement.²¹ The primary strategic driver for the merger was to create a leader in propulsion systems, significantly strengthening BorgWarner's capabilities in electrified propulsion and power electronics to better serve the automotive industry's transition to hybrid and electric vehicles.²³

Data Verification

- **Announcement Date:** The definitive transaction agreement was announced on **January 28, 2020**. This is confirmed by a joint press release from BorgWarner and Delphi Technologies issued on that day.²¹
- **Completion Date:** The acquisition was completed on **October 2, 2020**. A press release from BorgWarner on that date states, "BorgWarner Inc. (NYSE: BWA) today announced it has completed its acquisition of Delphi Technologies".²³

Deal Value

- **Value:** ~\$3.3 Billion (Enterprise Value).
- **Justification:** The definitive transaction agreement announced on January 28, 2020, valued Delphi Technologies at an enterprise value of approximately \$3.3 billion.²¹ The deal was structured as an all-stock transaction where Delphi stockholders received a fixed exchange ratio of 0.4534 shares of BorgWarner common stock per Delphi share.²¹

Transaction Type Analysis

- **Classification:** Merger / 100% Acquisition (All-Stock).
- **Justification:** The transaction resulted in the complete absorption of Delphi Technologies into BorgWarner. It was structured as an "all-stock transaction" in which Delphi Technologies stockholders received a "fixed exchange ratio of 0.4534 shares of BorgWarner common stock per Delphi Technologies share".²¹ Upon the completion of the deal, Delphi Technologies' common stock ceased to be traded on the New York Stock Exchange, confirming the 100% acquisition of the company.²³ While often referred to as a merger due to the combination of two large public companies, it was structurally an acquisition of Delphi by BorgWarner.

This transaction represents a pivotal strategic move by a legacy automotive supplier to aggressively pivot towards vehicle electrification. The deal was explicitly framed as the "next step in BorgWarner's balanced propulsion strategy, strengthening our position in electrified propulsion".²¹ The core rationale was to acquire Delphi's "proven leading power electronics technologies, talent and scale," which were seen as complementary to BorgWarner's existing offerings.²² The combination was designed to create a "leader in electrified propulsion systems" with a comprehensive portfolio of products essential for electric and hybrid vehicles, including "high voltage inverters, converters, on-board chargers and battery management systems".²³ This indicates that BorgWarner's leadership identified a critical gap in its technology portfolio—power electronics—that was essential for future relevance in the automotive industry. Rather than pursuing a slower and potentially riskier organic development path, BorgWarner opted for a large-scale acquisition to immediately gain the necessary technology and market scale. This M&A maneuver was both defensive, protecting its business from the decline of the internal combustion engine, and offensive, positioning the company to capture a leading share in the high-growth market for EV components.

Dealer Tire, LLC / Dent Wizard

Transaction Summary

This transaction involved the acquisition of Dent Wizard, the largest national provider of automotive reconditioning services, by Dealer Tire, LLC, a national leader in replacement tire distribution for automotive dealerships. The deal was designed to combine two complementary service providers to create a leading, comprehensive aftersales dealer services platform for the North American market.²⁵ Dealer Tire, backed by majority

shareholder Bain Capital, acquired Dent Wizard from its previous private equity owner, Gridiron Capital.²⁶

Data Verification

- **Announcement Date:** The signing of the definitive agreement was announced on **January 6, 2020**. This date is confirmed by a press release from Dealer Tire.²⁵
- **Completion Date:** The sale was completed in early **February 2020**. A press release from the seller, Gridiron Capital, announcing the completion of the sale is dated **February 6, 2020**.²⁶

Deal Value

- **Value:** Not Disclosed.
- **Justification:** The financial terms of the private transaction were not disclosed in the official announcements.²⁵ The acquisition was partially financed through a private offering of \$350 million in senior notes.⁴⁸ When a potential sale of Dent Wizard was rumored in 2017, it was expected to attract a price of \$1 billion or more, though the value of the final 2020 transaction was not confirmed.⁵⁰

Transaction Type Analysis

- **Classification:** 100% Acquisition.
- **Justification:** The announcement from Dealer Tire clearly states that it "has entered into a definitive agreement to acquire Dent Wizard".²⁵ The subsequent announcement from Gridiron Capital confirms the "completion of the previously announced sale of Dent Wizard to Dealer Tire".²⁶ The use of the terms "acquire" and "sale" signifies a complete transfer of ownership. While the announcement notes that Dent Wizard will "continue to operate independently under the leadership of its existing management team," this refers to the post-acquisition operational structure and not to its ownership status.²⁵

The strategic logic underpinning this acquisition is the creation of a "one-stop-shop" for automotive dealership fixed operations. Both companies serve the same core customer base—new car dealerships—but with different, non-overlapping services. Dealer Tire is a

leader in the tire bay, while Dent Wizard is a leader in reconditioning services like paintless dent repair, wheel refinishing, and interior repair.²⁵ The explicit goal was to create the "leading aftersales dealer services platform".²⁵ The CEO of Dealer Tire, Scott Mueller, articulated this strategy by stating that the combination "offers greater opportunities to help car dealers increase their fixed operations sales and profits and to increase customer retention".²⁵ This points to a classic cross-selling strategy. Dealer Tire can leverage its established relationships within its network of over 8,000 dealership customers to introduce and sell Dent Wizard's services, and vice versa. The synergy is not based on product integration but on customer overlap, allowing the combined entity to capture a greater "share of wallet" from each dealership client and become a more entrenched and indispensable partner to their fixed operations departments.

CIIG Merger Corp. / Arrival S.à r.l.

Transaction Summary

This transaction involved the business combination of Arrival S.à r.l. ("Arrival"), a global company creating electric vehicles, with CIIG Merger Corp. ("CIIG"), a publicly-traded special purpose acquisition company (SPAC). This merger provided Arrival with a pathway to a public listing on the Nasdaq stock exchange and access to significant capital to fund its growth, including the build-out of its planned "Microfactories".²⁷ The transaction valued the combined company at an enterprise value of \$5.4 billion and was expected to provide approximately \$660 million in gross cash proceeds.²⁷

Data Verification

- **Announcement Date:** The definitive agreement for the business combination was announced on **November 18, 2020**.²⁷
- **Completion Date:** The closing of the business combination occurred on **March 24, 2021**. A press release from CIIG on March 19, 2021, confirmed that its stockholders had approved the combination and stated, "The closing of the business combination is anticipated to take place on March 24, 2021".²⁸ The newly combined company, renamed Arrival, began trading on the Nasdaq under the ticker symbol "ARVL" on March 25,

2021.²⁸

Deal Value

- **Value:** \$5.4 Billion (Pro-forma Enterprise Value).
- **Justification:** The business combination agreement valued the combined company at an enterprise value of \$5.4 billion.²⁷ The transaction was expected to provide approximately \$660 million in gross cash proceeds to the new entity, funded by cash held in CIIG's trust and a \$400 million private investment in public equity (PIPE).²⁷

Transaction Type Analysis

- **Classification:** Merger / SPAC Business Combination.
- **Justification:** The transaction is explicitly a "business combination" between Arrival and CIIG Merger Corp., which is identified as a "US publicly-traded special purpose acquisition company".²⁷ This process, where a private operating company merges with a publicly-traded shell company (the SPAC) to assume its stock market listing, is known as a SPAC merger or a "de-SPAC" transaction. This is a distinct alternative to a traditional Initial Public Offering (IPO).

This deal is a quintessential example of the SPAC boom of 2020-2021, which provided an alternative route to the public markets for high-growth, often pre-revenue, companies, particularly in the electric vehicle and mobility technology sectors. At the time of the announcement, Arrival's first vehicles were not projected to be produced until the fourth quarter of 2021.²⁹ For such a company, a traditional IPO, which typically requires a substantial history of revenue and a clearer path to profitability, can be a challenging undertaking. The SPAC merger offered a faster and potentially more certain path to a public listing and, crucially, access to a large pool of capital to fund its ambitious and capital-intensive business plan. The \$5.4 billion enterprise valuation was based not on historical financial performance but on Arrival's future projections, its proprietary technology, and its innovative manufacturing strategy centered on low-capital-expenditure "Microfactories".²⁷ This transaction reflects the broader market dynamics of the period, where immense investor appetite for disruptive EV narratives, combined with the structural advantages of SPACs, created a powerful capital-raising mechanism for long-lead-time technology ventures.

Knorr-Bremse's Bendix / WABCO's R.H. Sheppard Co.

Transaction Summary

This transaction involved the acquisition of R.H. Sheppard Co., Inc. ("Sheppard"), a leading supplier of steering technologies for commercial vehicles, by Bendix Commercial Vehicle Systems LLC ("Bendix"), an indirect subsidiary of Knorr-Bremse AG. The deal was a required divestiture, as the seller, WABCO Holdings Inc., was mandated to sell Sheppard by the U.S. Department of Justice to secure antitrust approval for its own larger merger with ZF Friedrichshafen AG.³⁰

Data Verification

- **Announcement Date:** The definitive agreement for Bendix to acquire Sheppard was announced on **January 30, 2020**. This is confirmed by press releases from both Knorr-Bremse and WABCO.³¹
- **Completion Date:** The acquisition closed on **June 1, 2020**. A press release issued by Knorr-Bremse on June 2, 2020, explicitly states that "the company closed the acquisition of R.H. Sheppard Co., Inc.... on June 1, 2020".³³ This closing was strategically timed to occur just days after the main ZF acquisition of WABCO was completed on May 29, 2020.³⁴

Deal Value

- **Value:** \$149.5 Million.
- **Justification:** The transaction was explicitly valued at \$149.5 million in press releases issued by the involved parties.³¹ This price was for the divestiture of R.H. Sheppard Co. from WABCO, as mandated by the U.S. Department of Justice to approve WABCO's larger merger with ZF Friedrichshafen AG.³⁴

Transaction Type Analysis

- **Classification:** Carve-out / Divestiture.
- **Justification:** The transaction is a clear example of a regulatory-mandated divestiture, also known as a carve-out. The announcement from WABCO explicitly states that it "is divesting Sheppard in connection with the Antitrust Division of the U.S. Department of Justice's review of the proposed merger between WABCO and ZF Friedrichshafen AG".³¹ A carve-out is the sale of a specific subsidiary or division from a larger parent company. In this instance, WABCO was compelled to sell its Sheppard steering business to alleviate regulatory concerns that its combination with ZF, another major player with steering system assets, would create an anti-competitive concentration of market power.

This transaction highlights the significant secondary effects that can arise from industry-consolidating mega-mergers. The regulatory requirement for ZF and WABCO to divest the Sheppard business created a unique and valuable acquisition opportunity for a third party. Knorr-Bremse, a direct global competitor to the newly formed ZF/WABCO entity, was able to acquire a strategic asset that was only available due to the regulatory constraints placed upon its rivals. The deal was not the result of a willing seller in the ordinary course of business but a forced sale. Knorr-Bremse framed the acquisition as "another important step in our strategy to become a global manufacturer of steering systems for commercial vehicles".³⁰ This demonstrates how a company can capitalize on a situation created by its competitors' M&A activities. The forced divestiture allowed Knorr-Bremse to acquire a leading North American steering supplier, thereby strengthening its own competitive posture against the very entity whose formation necessitated the sale.

Cortec Group / Enthusiast Auto Holdings

Transaction Summary

This transaction involved the acquisition of Enthusiast Auto Holdings, LLC ("EAH"), a digitally native e-commerce platform for performance automotive aftermarket parts, by Cortec Group ("Cortec"), a New York-based private equity firm. The deal represented the first platform investment from Cortec's seventh fund, Cortec Group Fund VII, L.P., a \$2.1 billion fund that had recently closed.³⁶ EAH serves a dedicated community of automotive enthusiasts through a direct-to-consumer model.³⁷

Data Verification

- **Announcement Date:** The transaction was announced in **December 2019**. The press release from Cortec Group announcing the deal is dated December 2019 and states that the acquisition closed on December 19, 2019.³⁶
- **Completion Date:** The acquisition was completed on **December 19, 2019**. The press release confirms this date, stating, "...on December 19, 2019, a group led by its affiliate, Cortec Group Fund VII, L.P.... acquired Enthusiast Auto Holdings, LLC".³⁶ In this case, the announcement and completion were nearly simultaneous.

Deal Value

- **Value:** Not Disclosed.
- **Justification:** The press releases from both the acquirer, Cortec Group, and the seller, Bertram Capital, stated that the terms of the transaction were not disclosed.³⁶ The acquisition was the first platform investment from Cortec's \$2.1 billion seventh fund.³⁶

Transaction Type Analysis

- **Classification:** 100% Acquisition / Platform Investment.
- **Justification:** The press release uses the term "acquired Enthusiast Auto Holdings," indicating a full change of control.³⁶ The transaction is also explicitly identified as a "platform investment." The announcement notes, "The EAH acquisition represents the first platform investment in Cortec Fund VII".³⁶ In private equity terminology, a platform investment is the initial acquisition made in a particular industry sector, which is intended to serve as the foundation for future growth and subsequent "add-on" acquisitions.

This transaction underscores the increasing appeal of niche, enthusiast-focused e-commerce platforms to financial investors. EAH is described not as a generic parts retailer but as a "direct-to-enthusiast, digitally native platform" that was "Built by enthusiasts for enthusiasts".³⁶ This focus on a specific, passionate customer base creates a strong competitive advantage. These customers are often less price-sensitive and exhibit higher brand loyalty than typical e-commerce shoppers because they value the specialized product catalog, deep technical content, and sense of community that a platform like EAH provides.

Cortec's leadership praised EAH for "putting the customer first while innovating with unique products, often to create specific customer solutions," a strategy that resonates with this demographic.³⁶ For a private equity firm, this translates into a more defensible business model with the potential for higher margins and more predictable revenue streams compared to a generalist online retailer. The investment in EAH represents a strategic bet on the power of community and specialization to build a durable and profitable business in the digital retail landscape.

Works cited

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